

DAY 4

Product Requirements Document (PRD)

Learning Objectives:

- Understand what a PRD is and how it differs from a BRD
- Learn the structure and components of a standard PRD
- Understand user stories and how they fit inside a PRD
- Learn acceptance criteria: what makes a feature "done"
- **YouTube Search Terms:**
 - "PRD product requirements document tutorial"
 - "BRD vs PRD difference explained"
 - "How to write user stories as a PM"
 - "Acceptance criteria in agile"
- **Recommended Channels:**
 - Lenny's Podcast
 - PM School
 - Google Project Management Certificate

Tasks:

- Study the PRD structure — Product Overview, Goals and Objectives, User Personas, User Stories, Features List, Functional Requirements, Non-Functional Requirements, Out of Scope, Success Metrics, and Timeline
- Learn how to write user stories in the format: **"As a [user], I want to [action] so that [benefit]"** — understand why this format forces clarity about the user's actual need
- Learn acceptance criteria using the **Given-When-Then** format — understand why every feature needs criteria that define when it is truly complete and ready
- Write a **PRD for a mobile expense tracking app** - include at least 3 user personas, 10 user stories with acceptance criteria, a features list with priority labels (P0/P1/P2), and success metrics

Deliverable

- Full PRD for the expense tracking app
- Short comparison note: BRD vs PRD — when to use which document and who owns each

Product Requirements Document (PRD)

Product Name: Expense Tracker Mobile App

Version: 1.0

Month/Year	June 2026
Target Release	August 2026
Product Manager	DHRUV GUPTA
Engineering Lead	_____
Designer	_____
Document status	[draft] [pending review by engineering] [finalised]

Document History

Version	Date	Author	Description
1.0	12 June 2026	Dhruv Gupta	Initial PRD Creation

Table of Contents

- 1. Introduction
 - 1.1. Problem Statement
 - 1.2. Value Proposition
 - 1.3. Goals and Objectives
 - 1.4. High-Level User Experience
- 2. User Personas
- 3. Release Phases
- 4. User Stories and Acceptance Criteria
 - 4.1. US-01: User Registration
 - 4.2. US-02: User Login
 - 4.3. US-03: Add Expense

- 4.4. US-04: Categorize Expenses
 - 4.5. US-05: Edit Expenses
 - 4.6. US-06: Delete Expenses
 - 4.7. US-07: Create Monthly Budget
 - 4.8. US-08: Budget Limit Notifications
 - 4.9. US-09: View Monthly Reports
 - 4.10. US-10: Search Expenses
 - 5. **Functional Requirements**
 - 6. **Non-Functional Requirements**
 - 7. **Out of Scope**
 - 8. **Success Metrics**
 - 9. **Timeline**
 - 10. **Questions and Decision Tracker**
-

1. Product Overview

The Expense Tracker Mobile App is designed to help users efficiently manage their personal finances by recording, organizing, and analyzing daily expenses. Through an intuitive and user-friendly mobile interface, the application enables users to track spending patterns, set and monitor budgets, and gain valuable financial insights. By providing clear visibility into expenses and spending habits, the app supports informed financial decision-making and promotes better money management practices.

1.1 Problem Statement

Users face several challenges in managing personal finances:

- Forgetting to record daily expenses.
- Difficulty identifying spending patterns.
- Limited visibility into monthly expenditures.
- Overspending due to lack of budget monitoring.
- Reliance on manual tracking methods such as spreadsheets.
- Lack of actionable insights to improve financial habits.

1.2 Value Proposition

The Expense Tracker Mobile App will provide:

- Fast and simple expense recording.
- Organized expense categorization.
- Automated reporting and analytics.
- Budget monitoring with proactive alerts.

- Clear spending insights through dashboards and summaries.
- Improved financial awareness and spending control.

1.3 Goals and Objectives

Goals:

- Help users monitor and manage their daily expenses effectively.
- Encourage responsible spending and better budgeting habits.
- Improve financial awareness through expense tracking and reporting.
- Simplify personal financial management with an intuitive mobile experience.
- Provide users with meaningful insights into their spending behavior.

Objectives:

- Enable users to record expense entries quickly, ideally within 10 seconds.
- Maintain accurate and organized records of daily expenses.
- Allow users to categorize expenses for better spending analysis.
- Support the creation and monitoring of monthly budgets.
- Notify users when their spending approaches predefined budget limits.
- Automatically generate monthly expense summaries and reports.
- Provide analytics and visual insights to support informed financial decisions.
- Facilitate effective financial planning through comprehensive expense tracking and reporting.

1.4 High-Level User Experience

1. The user downloads and installs the application.
2. User registers or logs into an existing account.
3. The user creates a monthly budget.
4. User records daily expenses.
5. Expenses are categorized automatically or manually.
6. Dashboard displays spending summaries and trends.
7. Users receive alerts when nearing budget limits.
8. Users review reports and analytics to improve spending habits.

2. User Personas

Persona	Age	Role	Needs	Goals	Pain Points
Rahul	20	College Student	Track daily spending and manage pocket money	• Track pocket money effectively • Reduce unnecessary spending • Monitor monthly expenses	• Limited monthly allowance • Difficulty remembering small daily expenses
Priya	28	Working Professional	Monitor monthly expenses and savings	• Manage household expenses • Increase savings - Track spending across categories	• Multiple recurring expenses • Difficulty tracking discretionary spending
Amit	35	Small Business Owner	Separate personal and business expenses	• Track personal expenses separately • Monitor business-related spending • Generate spending reports	• Managing multiple expense sources • Lack of consolidated financial visibility

3. Release Phases

Priority / Release	Description	Features
P0 (Must Have) - MVP Release	Core features required for the application to function and deliver value to users.	• User Registration/Login • Add Expense • Expense Categories • Monthly Expense Summary • Budget Creation
P1 (Should Have)	Features that improve user experience and provide additional insights.	• Expense Search and Filter • Spending Analytics Dashboard • Notifications for Budget Limits
P2 (Nice to Have) - Future Release	Additional features that enhance usability and customization.	• Export Reports as PDF • Dark Mode • Multi-Currency Support

4. User Stories and Acceptance Criteria

User Story ID	User Story	Acceptance Criteria
US-01	As a user, I want to create an account so that my data is saved securely.	Given I am on the registration page, When I enter valid details and click Register, Then my account should be created successfully.
US-02	As a user, I want to log in so that I can access my expense records.	Given I have a registered account, When I enter the correct credentials, Then I should be logged in successfully.
US-03	As a user, I want to add an expense so that I can track my spending.	Given I am logged in, When I enter expense details and save, Then the expense should be stored successfully.
US-04	As a user, I want to categorize expenses so that I can analyze spending patterns.	Given I am adding an expense, When I select a category, Then the expense should be assigned to that category.
US-05	As a user, I want to edit expenses so that I can correct mistakes.	Given an expense exists, When I update and save it, Then the changes should be reflected successfully.
US-06	As a user, I want to delete expenses so that I can remove incorrect entries.	Given an expense exists, When I choose delete, Then the expense should be removed successfully.
US-07	As a user, I want to create a monthly budget so that I can control spending.	Given I am on the budget page, When I enter a budget amount, Then the budget should be saved successfully.
US-08	As a user, I want to receive alerts when nearing my budget limit so that I can avoid overspending.	Given my spending reaches 80% of the budget, When the threshold is crossed, Then I should receive a notification.
US-09	As a user, I want to view monthly reports so that I can understand my spending habits.	Given expenses exist, When I open reports, Then monthly summaries should be displayed.
US-10	As a user, I want to search expenses so that I can quickly find transactions.	Given multiple expenses exist, When I search using keywords, Then matching expenses should be shown.

5. Functional Requirements

- Users can register and log in.
- Users can add, edit, and delete expenses.
- Users can assign categories to expenses.
- Users can create monthly budgets.
- Users can view reports and analytics.
- Users can search and filter expenses.

6. Non-Functional Requirements

- App response time should be less than 3 seconds.
- User data should be encrypted.
- System availability should be 99%.
- Mobile-friendly and intuitive interface.
- Secure authentication mechanisms.

7. Out of Scope

- Investment tracking.
- Tax calculation.
- Stock market analysis.
- Cryptocurrency portfolio management.

8. Success Metrics

- **80% of active users** record at least one expense daily.
- **User retention rate exceeds 60%** after one month of usage.
- **90% successful expense-entry completion rate** across all users.
- **Average session duration exceeds 3 minutes**, indicating regular engagement.
- **At least 70% of users create a monthly budget** within their first month of using the app.
- **Customer satisfaction score (CSAT) exceeds 4.0/5**, reflecting a positive user experience.

9. Timeline

Week	Phase	Activities
Week 1	Requirement Gathering and Planning	Gather business requirements, define project scope, identify stakeholders, and create the project plan.
Week 2	UI/UX Design	Design wireframes, user flows, prototypes, and finalize the application interface.
Week 3-4	Core Feature Development	Develop core functionalities including user authentication, expense management, categories, budgets, and reporting features.
Week 5	Testing and Bug Fixes	Perform functional testing, usability testing, fix defects, and optimize application performance.
Week 6	Deployment and Release	Deploy the application to the production environment and prepare for user release.

10. Questions and Decision Tracker

ID	Question / Decision	Status
Q1	Should social login (Google/Apple) be supported?	Open
Q2	Should cloud backup be available in MVP?	Open
Q3	Which notification provider will be used?	Open
Q4	Should recurring expenses be included in Release 2?	Open
D1	Expense categories will be predefined initially.	Approved
D2	Monthly budgeting will be included in the MVP release.	Approved
D3	The mobile application will be prioritized over the web application.	Approved

BRD vs PRD Comparison

Aspect	BRD (Business Requirements Document)	PRD (Product Requirements Document)
Purpose	Defines business goals and needs	Defines product features and requirements
Focus	Business problem and objectives	Product functionality and user experience
Audience	Business stakeholders, management	Product managers, designers, developers, testers
Created During	Early project planning	After business requirements are approved
Owned By	Business Analyst / Project Manager	Product Manager
Answers	Why are we building this?	What are we building and how should it work?
Contains	Business goals, scope, stakeholders, success criteria	User stories, features, requirements, acceptance criteria

When to Use

BRD: Used at the beginning of a project to define business needs and justify the project.

PRD: Used after BRD approval to define detailed product requirements for the development team.

ADDITIONALS:

- A **user story** represents a small, concise statement of functionality or quality needed to deliver value to a specific stakeholder.
- What Are Acceptance Criteria In User Stories For Agile Projects?
 - Acceptance criteria serve as a checklist to determine when a user story is complete.
 - They specify conditions or requirements that must be met for the story to be considered "done."
 - These criteria help clarify what the team needs to build, bridging user needs and technical deliverables.

How to Write Good User Stories in Agile with Acceptance Criteria



✓ From the perspective of the user



✓ Deliver value on it's own



✓ Brief description



✓ Simple & understood by everyone

How to verify if we wrote a good and effective user story?

- ✓ **I**ndependent -> developed and released on its own
- ✓ **N**egotiable -> methods by which that goal is achieved should be negotiable
- ✓ **V**aluable -> each story should increase product value
- ✓ **E**stimable -> can be sized by the team
- ✓ **S**mall -> complete within a sprint
- ✓ **T**estable -> in a binary way

PRD (Apple AirPods):

<https://docs.google.com/document/d/1RswXWYN4bykaw5SRU-3GZsErD7anVmAKcA67qnQoQ7Y/edit?tab=t.0>

PRD:

https://docs.google.com/document/d/1AwlLVcJldO6h34dwhDotJX7oLFTiaCcZa6-_U4BZB0w/edit?tab=t.0